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Knowledge-Sharing Hostility
in Russian Firms

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The processes of identifying, capturing, and leveraging knowledge inside organizations contributes substantially to creating competitive advantage. By systematically sharing knowledge between its members, an organization avoids redundancy in knowledge production and the problem-solving process. Employees often seek to improve their knowledge by asking their colleagues, getting training from more experienced colleagues, or receiving supervision from their superiors. However, in many cases this kind of knowledge sharing is restricted by the tendency to merely seek missing answers in the local environment; it is random in terms of access to the best knowledge in the organization versus just finding a satisfactory solution; and it is fragmented because it is left to individual preferences.

The knowledge management literature has identified a number of impediments to knowledge sharing. They can be clustered into three groups: barriers related to the very nature of knowledge, impediments associated with the economics of knowledge sharing, and obstructions originating from individual behavior. This article deals with obstacles associated with individual behavior and focuses on knowledge hoarding, apprehension about failures, and the Not-Invented-Here syndrome—particularly in knowledge-sharing hostile environments.¹

Asymmetric distribution of knowledge prevents managers from playing very active roles in the knowledge-sharing process. In addition, monitoring whether knowledge sharing takes place is very difficult, especially in the case

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of predominantly tacit knowledge. The primary managerial tasks, however, should focus on providing the right infrastructure for knowledge sharing, influencing the environment, and aligning appropriate incentives. On the other hand, it is unrealistic to expect or assume that individuals are basically willing to share knowledge even when incentives are introduced to produce the desired behavior. Not only are there business and organizational cultures where it is extremely hard to search for the location of knowledge, but it is also enormously difficult to create transparency at the individual level regardless of organizational ties.

The Study

Our study is based on 26 interviews conducted in six case companies during the period 1999-2001.² Although all six companies are situated in large cities in the European part of Russia, they operate in different industries, differ in terms of age from 15 years to 160 years, and differ in size from 200 to 6,000 employees (see Table 1). Three of the companies are purely Russian, while there is Western involvement in the other three. In the latter cases, Western investors are represented differently: with a minority of shares, as a major shareholder, and with full ownership.

In one of the companies, Western expatriates working in Russia were interviewed using their respective mother tongues. The inclusion of Western expatriates in this study brings a different, outside perspective to the phenomenon of knowledge-sharing hostility. Unlike Russians who attempt to explain various issues with the catch phrase "Russia is different," Western expatriates can provide more elaborate explanations and interpretations.

Additionally, various written materials related to the case companies were studied, such as annual reports, meeting minutes, and published material about

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the companies. In addition to providing insights into the specificity of the industry, and the profile and activities of the companies, the company documents and, in particular, the minutes were a useful source for detecting the willingness of individuals to signal knowledge possession. These documents have been treated as data in their own right, as social facts in that they are

produced, shared, and used in socially organized ways. Although different on a number of parameters, such as size, age, and industry, the companies dealt with basically the same issues regarding knowledge-sharing difficulties.

TABLE I. Case Company Overview

Company	Company Age	Ownership	Industry / Activities	Number of Employees/ Average Age
Pharmacom	Established in 1937 Privatized in 1994	Russian	Pharmaceutical industry— Developing and producing medicine from natural components	320 / 37
Texcom	Established in 1841 Privatized in 1992	Russian	Textile industry—High quality clothes and uniforms for the domestic market	1,815 / 40
Foodcom	Established in 1914 Privatized in 1992	Russian	Food industry—High quality food without conservatives for the domestic market	1,500 / 35
Opticom	Established in 1913 Entered a joint venture in 1993	Majority of shares: Russian; Minority of shares: Western	Instruments and devices for the medical industry, obser- vation devices control equipment for meteorologi- cal purposes and special military equipment	6,000 / 47
Machincom	Established in 1988 Entered a joint venture in 1999	Majority of shares: Western; Minority of shares: Russian	Industrial machinery and equipment	200 / 40
Buildcom	Established in 1956 Privatized in 1994 Acquired in 1998	Western	Insulation material for the construction industry	500 / 44

Knowledge Hoarding

Knowledge Hoarding in Typical Situations

There are two major reasons why potential knowledge transmitters may choose to hoard their knowledge. First, they may fear a decrease in their personal value through sharing knowledge with other people.³ Second, besides protecting competitive advantages, they may defer from sharing knowledge due to the cost involved: either the cost of articulating their knowledge or the cost of transferring it in a tacit form, or both.⁴ The time spent on sharing knowledge with others could be invested in activities that may appear to be more productive for the individual. Particularly in organizational structures that promote individual optimization, the potential knowledge providers have little incentive to overcome the obstacle of time and resources. They will naturally ask themselves what they would gain from transferring the knowledge compared with spending the time on activities strictly related to their own performance. Unless

knowledge sharing is built into individuals' expectations and is reflected in reward mechanisms, sharing is not likely to take place. Organizational structures and incentives may, in some situations, promote a tendency of units and individuals to optimize their own rewards and accomplishments and, as a consequence, consciously or unconsciously hide knowledge from other units and individuals. They thereby sub-optimize the total organization. Individuals and teams that have invested resources in building up a specific competence may not be willing to share this knowledge with others without the right incentives.

In order to prevent knowledge hoarding from becoming a dominant behavior among employees in typical situations, managers should encourage knowledge sharing by rewarding transmitters, communicating clear overall goals, following up with detailed feedback, and setting a good example by sharing their own knowledge.⁵

Knowledge Hoarding in Knowledge-Sharing Hostile Environments

To hoard or to share knowledge is an individual decision. However, individuals act in particular contexts—cultural, social, economic, and organizational. Our case studies suggest that knowledge hoarding in Russian organizations is reinforced by three additional features: coping with high uncertainty regarding how the receiver will use the shared knowledge; accepting and respecting a strong hierarchy and formal power; and anticipated and actual negative consequences of sharing knowledge with subordinates. These three features were found important by the majority of respondents, both Russians and Westerners.

Knowledge Hoarding as a Strategy against Uncertainty

One explanation for hoarding knowledge as a typical behavior in the Russian context is the prevailing climate of suspicion and confidentiality. This climate's deep roots extend far beyond the 70 years of socialist experience back to the sixteenth century: secret policy is not a KGB invention, but existed under Ivan the Terrible as well.⁶ In the Soviet system, it was practically forbidden for

“Everybody in Russia was trained to keep things confidential.”

strangers to gather in groups and talk in public places. Although people knew each other on the job, a preferable behavior was to say as little as possible through carefully selected words. Answering a question with a

question was and still is a well-known and established practice and, more importantly, a mechanism against sharing information. Another preferred way of exchanging information was and still is by word of mouth. According to one respondent:

“Everybody in Russia was trained to keep things confidential.”—Western manager, Buildcom

The hoarding behavior was reinforced by the fear that sharing knowledge could backfire by deliberate misinterpretation of the content of the shared knowledge. In a highly politicized organizational context, as the one in Russia

especially before 1991, such misinterpretations could have led to negative consequences for the transmitter and her or his network.⁷ Due to this uncertainty regarding how the receiver will use the shared knowledge, Russian people are in general highly cautious about revealing detailed information.

Respecting Formal Power and Resisting Knowledge Sharing across Hierarchical Levels

The high respect for hierarchy and formal power leads to two types of knowledge hoarding behavior. First, subordinates often intentionally hoard their knowledge, anticipating that their superiors would not promote them if they demonstrate in public that they are more knowledgeable than their superiors. A Russian middle manager from Foodcom expressed the following:

"I need to be especially careful not to show off what I have learned at the last management course I have attended. It would be a bad situation for me if my boss feels threatened. I wouldn't be sent to another course or promoted. I could even lose my job."

Second, many Russian managers tend to associate knowledge with formal, position-based power rather than seeing knowledge as a necessary condition and organizational resource for taking optimal managerial decisions. They often talk in terms of "subordinating" (*podchinyat*) people rather than leading them, and they believe this to be one of the manager's most important functions. In all six companies, Russian managers strongly expressed the view that they should always be more knowledgeable than their employees. This frequently prevents managers from approaching employees as sources of ideas and reliable knowledge:

"You should always be 'higher' than your staff. This allows you to set correctly the tasks for your employees, to check the implementation, to assess and control."
—Russian Vice CEO, Opticom

Consider also the following part of an interview with the Russian Sales Director of Pharmacom:

Director: "I don't expect any ideas and solutions from my subordinates. I need information from them in order to command them. . . . All ideas are born in my head. Employees have no sufficient qualification to come up with new ideas and if they do, I suppress them. It is me who is paid for ideas. I am the only one. So, it's me to come up with new ideas. . . ."

Interviewer: "But you mentioned before that the policy of the company is to hire younger, well-educated specialists. They must be a valuable source of fresh and useful ideas. . . ."

Director: "We have specialists, but we don't have ideas. I have seen specialists, but no ideas coming from them."

As the above quotations illustrate, no creativity is required or expected from shop-floor workers and the notion of personal responsibility is neither well developed nor highly valued. Most Russian managers and employees place a

very high importance on hierarchy and formal power, and independence is alien to them. Two people with equal status in the management hierarchy confuse Russian employees. Most employees would, unofficially, rank them hierarchically. The hierarchical levels in the organization are linked through pyramidal connections and forces. A study conducted in the largest Russian textile factory in 1990 found that participative intervention seemed to have a counterproductive effect on the Russian workers' performance and that participative efforts threatened the Russian cultural value of communal work.⁸ In another study, which examined 159 managers' views on managerial trials in the transformation to a free market economy and which was carried out in 25 different organizations in St. Petersburg, one of the most frequent problems mentioned was lack of employee involvement and motivation.⁹ The six cases studied here highlight similar tendencies:

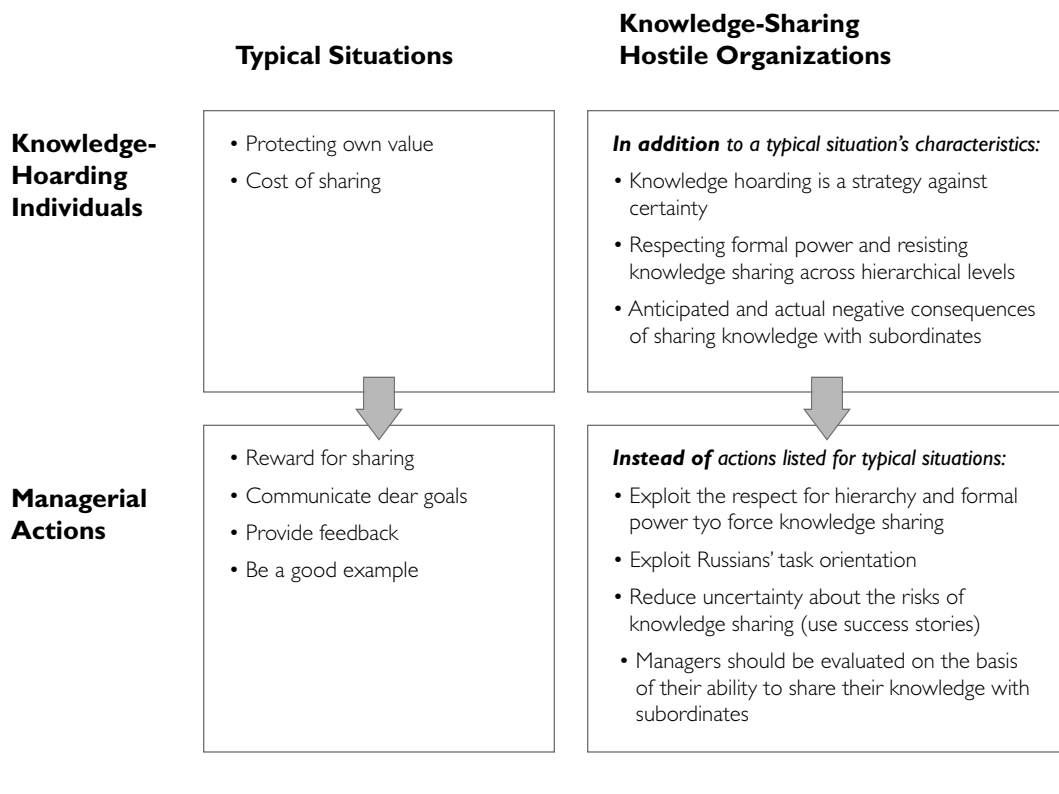
"It is the top managers' task to decide everything. We are here to work."
—Russian middle manager, Foodcom

"Managers have to teach their subordinates; they have to keep control over them and everything they do; they have to force them to be involved in continuous learning processes."—Russian CEO, Pharmacom

Inequality in status among organizational participants can be a strong inhibitor for sharing knowledge, especially from lower levels to higher levels. Most Russian managers have difficulties accepting the fact that they can learn from employees from lower levels. This is expressed in their resistance and dissatisfaction when they have to work in a group with people from hierarchically lower levels, such as, for example, in the context of management education and training programs. This barrier is reinforced when the participants draw on distinct knowledge bases and ways of analyzing and assessing information.

Anticipated and Actual Negative Consequences of Sharing Knowledge with Subordinates

An important feature continually observed, particularly in Russian-Western companies, is that knowledge transferred from Western managers to Russian top and middle managers is most often not transferred further down in the organization. All Russian respondents from higher hierarchical levels are eager to explain what they have learned from their Western colleagues but are surprised by the question "How do you then share the gained knowledge with your subordinates?" A study of a Russian company in the aerospace materials industry that was cooperating with a UK company also concluded that the knowledge transferred from the UK managers to the Russian senior managers was not passed on to or implemented in the broader layers of the organization, although the careful learning needs assessment and the learning strategy were closely linked to the management methods and business needs of the UK and Russian partners.¹⁰ Sharing knowledge across levels or shared learning for mutual advantage is either not understood or, if well understood, consciously prevented. One possible explanation for not sharing knowledge with employees is that many Russian managers view such an activity as pointless since employees are

FIGURE 1. Knowledge Sharing

not authorized to make decisions by themselves and, therefore, do not need the knowledge. Other Russian managers indicated, often implicitly, that they fear competitive pressure from their employees and a potential loss of authority if they share more knowledge than they believe employees need for executing their tasks according to instructions. This has serious implications in terms of lack of sustainability of initially successful projects and missed opportunities to build upon positive achievements and consolidate gains within Russian companies.

Figure 1 outlines the characteristics of knowledge hoarding in knowledge-sharing hostile organizations as opposed to knowledge hoarding in typical situations. The figure also suggests appropriate managerial actions in these two settings.

Recommendations to Western Expatriates and Russian Top Managers

The traditional means of dealing with knowledge-sharing hostility based on encouragement are worthless or even counterproductive in Russian organizations. In knowledge-sharing hostile environments, managers need to exploit the respect for hierarchy and formal power to force knowledge sharing. They can also use the Russian employees' strong task orientation by assigning them

to work on cross-functional and short-term tasks, which will require a certain extent of knowledge sharing. The processes of knowledge sharing should be carefully monitored in these situations. It is important to reduce employees' uncertainty about the risks of knowledge sharing by, for instance, using success stories to illustrate the value of knowledge sharing. Managers should be evaluated on their ability to share their knowledge with subordinates. Conducting internal seminars and involving employees in problem solving based on knowledge the managers possess could, for instance, be used as evaluation criteria.

Apprehension about Failures

Apprehension about Failures in Typical Situations

Failures have long been recognized as a vital source of insight much too valuable to be buried and consciously kept secret by the people involved in committing the failure.¹¹ Failures are often the result of exploring unknown territories and, hence, also demand development of new insights. These insights offer significant learning potential, especially for later expeditions into the unknown. In other words, we learn a lot from our mistakes and this type of learning is highly valuable not only at the individual, but also at the group and organizational levels.

Organizational reality is, however, often different: individuals do not freely and openly share knowledge about the mistakes they have made. Most employees inevitably feel vulnerable when exposing their mistake to colleagues and managers. Will the colleagues and managers use the opportunity to attach the mistake to the messenger or exploit the opportunity to learn from it? Will the managers remember the mistake at the next salary negotiations or maybe ignore the messenger's name when considering promotions? These doubts prevent employees (and managers) from openly and freely sharing insights about their mistakes and failures. Instead, mistakes and failures are covered up and only shared with an absolutely unavoidable audience. To steer clear of pitfalls (often leading to serious financial losses) caused by not disseminating knowledge about mistakes and failures in the organization, it is essential that management develops an atmosphere that embraces mistakes and motivates individuals to share the learning points with their colleagues.

In typical situations, apprehension about failures and the subsequent reluctance to share knowledge can be addressed by working systematically towards establishing trust, especially between employees and managers. Interpersonal trust fundamentally has two forms—a cognitive form and an emotional form.¹² The cognitive form is associated with deliberately choosing whom to trust, to what extent, and under what conditions. This choice is based on what one perceives as good reasons or proofs of reliability. Emotional trust is based on emotional ties between individuals, such as friendships. Often a certain level of cognitively based trust will be a condition for the occurrence of emotional trust. It is far from ideal if trust only emerges randomly. Instead, it is essential to work systematically with cognitively based trust. Securing organizational mem-

bers' active involvement in decision-making processes, assuring a high level of transparency and clarity regarding expectations, and providing feedback are essential for establishing and developing a trust-based organizational climate¹³ that, in turn, can stimulate knowledge sharing.

Apprehension about Failures in Knowledge-Sharing Hostile Environments

The data from the six companies suggests three particular features of apprehension about failures in Russian organizations: the highly negative attitude towards mistakes; lack of reflection in the work and decision processes; and a strong focus on procedures and regulations.

Mistakes Are Taboo

Making and discussing mistakes has always been taboo in most Russian organizations. This may sound rather surprising bearing in mind that accepting failures and misfortune is typical for Russians.¹⁴ The belief that events are beyond people's control and that the only meaningful reaction is to accept them could imply that Russians would be more willing to share insights about failures and mistakes. Paradoxically, the belief that mistakes and problems are dubious and should be avoided at any cost is deeply rooted in Russian culture. Both Russian top managers and Western expatriates in this study struggle with the consequences of this attitude towards failures and mistakes. Most Russian middle managers and employees, however, do not share this struggle:

"Our slogan is 'We do not have the right to make mistakes!'"—Russian middle manager, Buildcom

"I can only remember one single case when a mistake was made in our company over the last five years."—Russian HR manager, Foodcom

This paradox can partly be illuminated by the fact that critical or deviant thinking was severely punished in the Soviet system. The suppression of the individual during socialism permitted employees to distance themselves from taking action and feeling responsible for organizational behavior and results. Independently thinking people were regarded as "conflict-prone" or "anti-social personalities," and initiative and ambition were denigrated. Contrary to the Western belief that "if you do not fail, you do not act and develop yourself," some of the Russian respondents explicitly claimed that "if they act, they risk making mistakes. Therefore, they often prefer not to act." This limits the possibilities for learning from actions at the workplace. This said, it is important to point out that many Russians do talk a lot about problems and mistakes outside of their companies. This increases the importance for managers, and especially

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Western managers working in Russian companies, to socialize with Russian managers and employees outside company walls.

Lack of Reflection

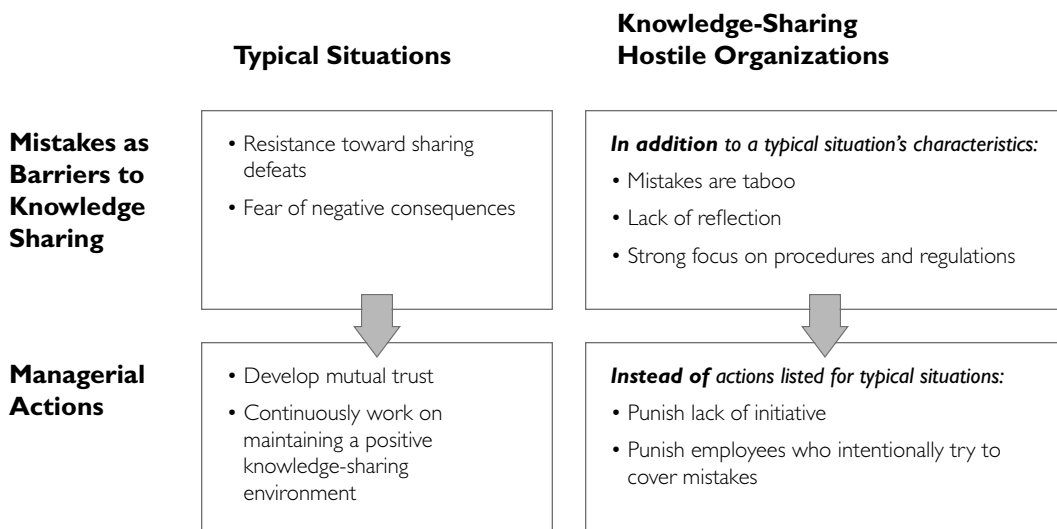
Reflection and feedback can significantly increase learning.¹⁵ Reflection is an important source of feedback and, in turn, the lack of feedback is a barrier to reflection. Whereas many Western managers try to continuously give and receive feedback, most Russians do not consider discussions important and try to avoid them, especially when they involve problems. The Russian respondents in the study confess that neither they nor their subordinates are very interested in reflecting upon the process of decision making. At the same time, they continuously demonstrate an excellent ability to reflect and self-reflect by using, for example, jokes related to their work, departments, and companies.

Many Russian companies are typically structured as a coercive bureaucracy. This structural configuration is based on positional authority, top-down command and control, and autocratic strategy development.¹⁶ The lack of interest in reflection and feedback perpetuates this tendency. It also increases the risk of repeating others' previous mistakes. Such behavior—centered on the common and still widely used expression “*Kto vinovat?*” (“Who is to blame?”)—limits the potential benefits of knowledge sharing on both the group and organizational levels.

Strong Focus on Procedures and Regulations

Another explanation for the apprehensive behavior in Russian organizations is the strong focus on tasks and rules. In a 1996 study of Russian managers, 89% identified the presence of a rule-based organizational climate where everyone is expected to stick to organizational rules and procedures.¹⁷ It is estimated that the average Russian enterprise during communist times may have had up to 80,000 rules and regulations.¹⁸ The Russian Vice CEO of Texcom, one of the companies in the present study, explained that his “vision of a really good manager is a person who is skilled in establishing and maintaining rules and procedures as well as creating a high extent of ‘automatism’ in performing tasks.” Russian middle managers in Buildcom were also convinced that “their company would die if it were not producing a high number of well-formulated and self-perpetuating rules and regulations.” The strong emphasis on rules and regulations, combined with an enormous focus on tasks, constrains innovative behavior. When non-innovative behavior is the norm, it is only logical to punish failures. This approach dramatically increases the level of hostility to knowledge sharing.

The particular features of apprehension about failures in typical situations as well as in knowledge-sharing hostile organizations are summed up in Figure 2. The figure also outlines the appropriate managerial actions in these two situations.

FIGURE 2. Apprehension About Failures

Recommendations to Western Expatriates and Russian Top Managers

Many Russian employees see passivity as a well-functioning strategy against making mistakes. They are also skilled and “creative” in hiding mistakes once they have realized they have made them. Our fieldwork undertaken in Russian companies strongly suggests that the most efficient way of making employees act against the deeply rooted fear of failures is to introduce well-defined measures for punishing lack of initiative and attempts to hide mistakes. Punishment as such is an approach widely used by many Russian managers. Our respondents constantly referred to punishing not merely as a well-functioning method, but as the only meaningful one in situations where, for example, employees do not correctly implement their decisions. Despite its basic regressive nature, punishment is efficient to ignite a change in terms of taking the first drastic steps to breaking knowledge-sharing hostility. Bigger (unpaid) workloads, demotion, and the firing of employees are possible punishment measures. However, managers need to be aware that this is a high-risk approach that can backfire if not applied in a patient and reasonable manner following the principle of creating a trust-based organizational climate through transparency and consistency. It is crucial that managers explain the reason for the punishment in detail to all subordinates. Lack of consistency in managerial actions (e.g., punishing some for lack of initiative and not others) would lead to confusion and invalidate the ambition to activate mistakes in the value creation process.

The Not-Invented-Here Syndrome

The NIH Syndrome in Typical Situations

Resistance towards using knowledge created elsewhere is referred to as the “Not-Invented-Here” (NIH) syndrome.¹⁹ External knowledge is often rejected because it is more prestigious to create new knowledge instead of reusing knowledge invented elsewhere. Another reason for NIH is that the recipients do not trust the quality of the shared knowledge (e.g., because they do not trust the source). In this case, they prefer to develop the specific knowledge themselves instead of validating the external knowledge before integrating it into their knowledge pool. The NIH syndrome might also take the shape of group thinking where a stable group, such as a project group or management team, believes that it has a monopoly of knowledge in its field and therefore rejects new ideas from outsiders.

Since knowledge recipients do not always possess the necessary capability to assess the quality of external knowledge, they need to trust that it is the best available and that they can base their actions on it. Stimulating trust is therefore an important condition for overcoming the NIH syndrome. The challenge for managers is to encourage bottom-up and voluntary knowledge sharing. This can be achieved by rotating middle managers and employees in order to increase their understanding and appreciation of knowledge created elsewhere in the organization and by creating situations where cognitive trust relations can be developed in the organization. It can also be done by aligning incentives to stimulate employees to reuse knowledge, e.g., by introducing a prize for “Not invented here, but we did it anyway” achievements.

The NIH Syndrome in Knowledge-Sharing Hostile Environments

In addition to confirming the existence of the NIH-syndrome in typical situations, the six cases reveal two well-defined features that perpetuate this syndrome—a strong group affiliation and a suspicion towards outsiders, particularly foreigners. These characteristics appeared continually during the interviews, although phrased and articulated in various ways by the study participants.

Strong Group Affiliation

Russian culture is generally considered to be collectivist,²⁰ although there are recent indications of increasing individualism.²¹ The spirit of collectivity has very deep roots in Russian culture. Many centuries ago, Russian society was arranged around the greater family communes, which later evolved into larger units called *mir*. In the 1930s, the Soviet collective farm replaced the *mir* as a structural configuration, maintaining the basic principle of communitarism. Russian collectivism and its ethic of egalitarianism are intrinsic components of the inner logic of Russian managerial values.²² The Russian social theorist Stolyarenko claimed that the development of collectivist psychology includes two types of processes—planned and spontaneous. The task of controlling

development lies in extending the sphere of planned development and narrowing the sphere of spontaneous development.²³ The collective interest had clear priority over the private interest. The two dogmas of the communist society, dialectical materialism and historical materialism, did not allow for the individual: in dialectical materialism, the man does not yet come into view, and in historical materialism, he is “overcome” by the deeper notion of society.²⁴

This strong sense of collectivism, however, does not translate into an ability to work in teams, particularly cross-functional teams. Whereas teamwork requires sharing knowledge, most departments in Russian companies are merely oriented towards their own tasks and goals without grasping the idea of the company as a whole. In order to exercise political control over enterprise activities, Russian socialist management had combined task orientation with a high level of task fragmentation. Ten years of post-socialism have not noticeably changed this picture. A major reason for this departmental way of thinking in Russian companies is that there are a number of functions and positions that are replicated in terms of content but positioned in different departments. Consequently, the employees are not interested in and, moreover, are afraid of bringing the teamwork issue forward since this would question their position and risk their employment.

The idea of everybody winning by sharing knowledge is alien in this context.²⁵ Many Russians believe that whenever more actors are involved in a situation, it ends with a zero-sum result:

“Some units and departments will, of course, lose if some others win.”
—Russian middle manager, Texcom

Relations at the interpersonal level may substitute for or complement relations at the inter-departmental level.²⁶ A number of authors highlight the importance of personal relationships in the Russian context,²⁷ as did the respondents:

“In Russia, one needs friends or friends of friends. Otherwise, one cannot do anything.”—Western manager, Buildcom

“A manager only needs a phone. In order to get things done one needs always to contact people personally.”—Russian top-manager, Foodcom

Interaction takes place only at the head-of-department level.²⁸ This is not surprising, bearing in mind that the head of the marketing department, for instance, is the only person possessing information about the marketing department. All Russian respondents, each of whom had more than three years management experience, considered sharing information and knowledge with

In order to exercise political control over enterprise activities, Russian socialist management had combined task orientation with a high level of task fragmentation. Ten years of post-socialism have not noticeably changed this picture.

people working at lower levels as being disloyal to their peers occupying similar management positions in other departments of the company. Furthermore, this interaction takes place in a rather formalized manner—e.g., at regular management meetings.

In older Russian companies, there are usually long-lasting relationships among organizational members. In all studied companies with the exception of Machincom (which was only established in 1988), interviewees pointed out that “they were very closely tied.” This perception makes individuals strongly attached to groups both emotionally and in terms of formal membership.²⁹ A number of situations encountered during the fieldwork in Russia illustrate that Russian managers and employees tend to resist new ideas coming from outside. One of the reasons is that the new information and feedback might fracture not only the stability and familiarity of the particular group, but also the organizational order, continuity, and power—which they respect highly. Consider the following statement by Opticom’s Russian Vice CEO:

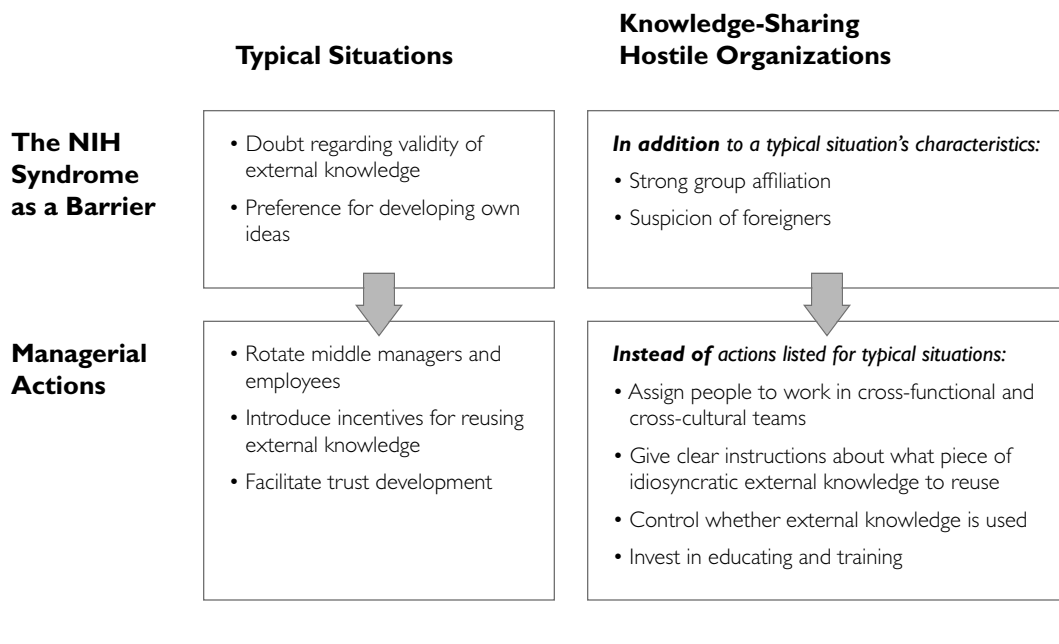
“It is out of the way that one suggests alternative ways of doing things to people from another department in the firm. If one really believes that things in that department go wrong and influence badly one’s own department, one should address the higher level. It is impossible to do anything else.”

Preventing knowledge sharing across departmental boundaries can have serious negative consequences. Internal communication processes become less efficient, the time needed to develop new products increases considerably, and learning opportunities are not exploited. Many Russian managers and employees, however, seldom perceive these to be problems.

Suspicion of Foreigners

People in collectivist cultures generally have greater difficulties in dealing with outsiders.³⁰ Russians are suspicious of foreigners, particularly of people coming from the West, whom they have traditionally mistrusted.³¹ In 1918, Lenin moved the capital of Russia from St. Petersburg to Moscow—the communists believed St. Petersburg was much too close to the threatening Western border. The suspicion was intensified under Stalin and did not decrease under Khrushchev, Brezhnev, or Gorbachev. There is a division between the *zapadniks* who favor adopting a Western lifestyle and absorbing knowledge and technology of Westerners, and *slavophiles* who push for an all-Slavic way of life and favor Russia’s own development of science, trade, and technology.³² Peter the Great claimed that “anything that is new, even if it is good and necessary, our people will not do without being compelled.”³³

The business contacts between Russia and the West do not have a long history. The countries of the former Soviet Union and the West were rather isolated from each other and there were no strong or frequent contacts at the enterprise level. This increased the cultural distance between Russia and the West. Solzhenitsyn, who belongs to the slavophiles group, summarizes the attitude by warning that Western capital “must not be lured in on terms that are advantageous to it but humiliating to us [Russians], in come-and-rule-us

FIGURE 3. NIH Syndrome

style.”³⁴ A director of the Russian Inkombank pointed out that “Russians are made to feel like aboriginals in their own country who should be grateful for what the foreign firms care to pay them.”³⁵ Yet many Russians recognize that the West is a source of financial capital, modern technologies, and new ideas. Looking at Westerners as exploiters and partners at the same time is a reflection of Russians’ “love-hate hysteria about the West.”³⁶

Figure 3 outlines the specific reasons for rejecting knowledge in typical situations and in knowledge-sharing hostile organizations, and it also suggests appropriate managerial actions in these two settings.

Recommendations to Western Expatriates and Russian Top Managers

A possible way to fight the knowledge-sharing hostile environment is to consciously and constructively exploit the advantages of strong group affiliation. The context of the group needs to be redefined and reconfigured so that employees from different functions and departments are assigned to work jointly on a project. Managers need to be careful with the timing of such new assignments, bearing in mind that Russians develop strong emotional attachment to a group and therefore tend to be highly resistant to frequent group changes. Additionally, the advantages of sharing knowledge among individuals from different departments will not develop overnight and are not necessarily obvious to employees from the very beginning. Furthermore, in the beginning managers should give clear instructions about what piece of idiosyncratic external

knowledge employees should reuse in order to make sure that external knowledge is used and appreciated. In order to secure the effect, managers need to follow up on whether the instructions are executed.

Russians' high level of suspicion towards foreigners is a serious obstacle for knowledge sharing, especially in Russian-Western organizations.

Russians' high level of suspicion towards foreigners is a serious obstacle for knowledge sharing, especially in Russian-Western organizations. The first step towards fighting this suspicion is to be aware of its presence and extent. From that point, Western managers should aim at breaking down the suspicion and hence the intensive NIH syndrome by, for example, socializing with Russian managers and employees, creating cross-cultural teams, training and educating Russians in the Western offices, and investing serious effort in studying Russian history, culture, and language.

From Knowledge-Sharing Hostility to Efficient Knowledge Sharing

When the firm's knowledge is intentionally and purposefully managed, knowledge-sharing processes are more efficient. Conscious managerial actions become even more important in knowledge-sharing hostile environments and should be directed towards careful observation, diagnosis, and then explicit breakdown of barriers to knowledge sharing. In knowledge-sharing hostile environments, this could be achieved by initially forcing the process of knowledge sharing as opposed to encouraging or stimulating the knowledge sharing as would be appropriate in typical situations. The vast majority of the Russian respondents continuously and intensively used the notion of "forcing" as *the* method for activating employees in the desired ways. This is not to say that forcing mechanisms lead to efficient knowledge sharing but rather that forcing techniques are able and needed, according to the data, to initiate a transformation process from a hostile to a more friendly knowledge-sharing environment. Moreover, in the case companies, this was the only approach that worked successfully.

A possible way to accomplish this is to assign employees to work on tasks and projects that cannot be completed without more intensive knowledge sharing. As noted, most Russian employees are typically very good at executing clearly defined short-term tasks. This strong task orientation could be used constructively in terms of splitting more complex projects into smaller steps and assigning people to them. It is important to remember that employees also expect to be controlled, and if managers do not follow up on whether and how the tasks have been fulfilled, a high level of confusion and disappointment will be created.

Another technique that can be applied is to give direct orders and instructions that do not allow for avoidance of knowledge sharing. If middle managers,

for example, undergo an educational or training program, they should be assigned to act as knowledge transmitters upon completion. Otherwise, the knowledge they have accumulated during such education or training will definitely not be disseminated into the organization, neither horizontally nor vertically.

The fieldwork in Russia provides evidence that reward systems seldom provide the results and effects intended by management. Russian employees and middle managers may take financial reward systems seriously for a month or two. However, the effect of these rewards evaporates rather quickly and does not help to increase motivation for knowledge sharing. The Russian employees' argument is that financial rewards—for example, in the form of bonus systems—are calculated in relation to their salary and if the salary is low anyway, there is no stimulating effect to be found in the bonus unless the it is really substantial. Another important lesson to draw is that most Russian employees are loyal to a person, not to a function. This suggests that one should avoid frequent replacement of managers.

The aim should be to consciously initiate the process of knowledge sharing through these techniques. As soon as an increased awareness of the importance of knowledge sharing is achieved throughout the organization, more advanced instruments can be applied and more efficient knowledge sharing achieved.

Notes

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